



Structural Modeling of Employee Performance: The Roles of Capacity Building and Supervisor Support in Nepalese Commercial Banks

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ABSTRACT

Background: Employee performance is essential for organizational effectiveness, particularly in Nepalese commercial banks facing technological advancement, competition, regulatory changes, and evolving customer expectations. Capacity building through training and professional development, together with supervisor support, may enhance employees' knowledge, skills, and performance. This study examines the impact of capacity building and supervisor support on employee's performance in commercial bank. It also the relationship among capacity building, supervisor support and employee's performance.

Methods: A descriptive and explanatory research design was applied and the including path analysis using SEM. This study used a convenience technique to collect data from 150 employees working in commercial bank. Data were gathered through an adopted questionnaire using seven-point likert scale. Statistical analyses were conducted using SPSS 20 and Smart PLS.

Results: The result indicates that both capacity building and supervisor support have a significant effect on employees performance. Among these factors, supervisor support emerged as a strong predictor, as reflected by its higher beta value.

Conclusion: Policy makers should prioritize capacity building and managerial support to improve employee performance in the banking sector.

Keywords: Capacity building; Supervisor support; Employee performance; Commercial Banks

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INTRODUCTION

In the modern competitive banking environment, Human resources serve as a important indicator for the development of organizational and employee performance, facilitating the achievement of specified goals within a designated timeframe (Pradhan and Jena, 2017; Sadick and Kamardeen, 2020). Employees are the soul of any organization (Jasanoff, 2001). effective management is essential for sustaining employee performance and ensuring competitiveness in the market (Song et al., 2019). the employee whose performance can ensure the success of institution. Therefore, banks have to focus on development of employee performance through several ways. The satisfied employee can always perform better (Mengstie, 2020). the banking sector is a service industry, and the quality of service is directly linked to the performance of its employees. High-performing employees can provide excellent customer service, leading to customer satisfaction and loyalty. Organizational performance could be enhanced by aligning the performance management techniques with HRM practices (Den Hartog et al., 2004). Employee performance leads to improve overall efficiency and productivity of organization processes.

Capacity building refers to the process of enhancing

an individual's knowledge, skills, and abilities to perform their job effectively (Hargreaves, 2011). Capacity building helps employees to do their job in effective ways. In the banking sector, capacity building initiatives encompass training programs, skill development workshops, and continuous learning opportunities. Training is the effective tools for enhancing performance (Pandey, 2017). Training and development activities are equally important HR functions which are concerned with imparting knowledge and skills for a particular job (Khan, 2013). Training is very important in banking sector (Dikshit and Jain, 2017). Bank use different technique in order to enhance capacity of their employees, Training and development activities are equally important HR functions which are concerned with imparting knowledge and skills for a particular job (Khan, 2013). Training is very important in banking sector to increase the performance level of employees (Dikshit and Jain, 2017). Banks are currently facing the challenges of employee turnover on which training and development can be effective tools for reducing employee retention (Awan and Kiren, 2016). Career development is the series of on-going activities in the organization, it involves training on new skills, making a career change within an organization which helps in at-

tracting and retaining the qualified and calibre employees (Kibui et al., 2014). Career development is a means of arming employees with skills to perform their jobs and it is the representation of an employer's commitment to their workforce (Alnaqbi, 2011). Supervisors play a critical role in fostering a positive work environment, their support directly impacts employee morale, job satisfaction, and overall performance (Burke et al., 1992).

Supervisory support suggests the leading role played by an authoritative person for the promulgation of effectiveness and efficient fluency of work in organization through engaging best employees (Van Velsor and McCauley, 2004). Employee of banks has to perform their duties in challenging and changing dynamics. Thus, timely motivation from management can double the rate of performance done by employee (Neupane, 2019). The employee has to support the organization and organization has to support the employee for achieving organizational objectives and the coordination in workplace from superior ease the way of handling problem (Ali et al., 2018). A manager's leadership can have direct impact on the satisfaction of employees through personal contact and indirect impact through shaping supporting policies (Yukl and Becker, 2006). Manager support is described as the degree to which the leaders appreciate the contributions of its employees and care about their welfare. Employees are probably going to remain in those associations where they trust that their capacities, commitments, and positive attitudes are valued (Terera and Ngi-rande, 2014).

Employee performance refers to the activities and tasks performed by an employee efficiently and effectively. Performance can be measured by managers through different mechanisms (Saleem et al., 2021). There are various factors that affect the employee performance such as monetary benefits, training programs, non-monetary benefits, organizational support, organizational support for career development (OSCD), supervisory support and capacity building programs, etc. Resultantly employee performance enhances profitability of the organization (Gull et al., 2012). Interestingly, most of the existing studies on capacity building focus on broader organizational or national contexts.

The social exchange theory explain that employees respond to supportive supervisors through reciprocity, putting in extra effort and improving performance. In the context of capacity building, training enhance employees skill (Siddiqui, 2014; Ghimire et al., 2023). Human capital theory suggest that investing in employees skill and knowledge boost productivity (Becker, 1993). In the workplace, social support theory suggest that capacity building and supervisor support provide employees with essential resource, guidance enhancing their skills, confidence and performance (Thoits, 1995; Cullen et al., 1999)

Lessing (2020) examined the effect of training, staff development, and supervisor support on employee's performance. Using quantitative survey method and statistical analysis, the study found that effective training significantly enhance motivation, skill and performance.

Ali and Nada (Ali and Nada, 2018) found that employee training has positive effect on performance. Based on a study of 303 employees from two Lebanese companies revealed that capacity building program enhanced job satisfaction and work quality. Similarly, Subha and Bhat-tacharya (?) explore the key factors influencing employees performance in nepalese commercial bank. Using primary data from 200 respondents, employer branding, career growth, work environment significantly affect employees performance.

Likewise, Rahaman et al. (2023) aimed to identify factors influencing employees performance in private commercial banks. Using quantitative approach, questionnaire were distributed among 250 bank employees and SPSS 26 is used to regression analysis. The study found that manager leadership style ,compensation have significant positive impact on employees performance. Additionally, Chapagain et al. (2022) investigated the relationship between training and work performance. Using descriptive and cross sectional design, data were collected through questionnaire from 250 employees , SPSS and PLS-SEM were used to analyze collected data. The study found training was highly positively affected employees performance.

However, there is limited empirical evidence from commercial bank at local municipal level in Nepal, particularly in Siddhartha Nagar Municipality, Bhairahawa, Rupandehi. Thus, the objectives of this study is to access the relationship between capacity building , supervisor support on employees performance in commercial bank and to examine the affect of capacity building and supervisor support on employees performance. Therefore, based on the objectives this research seeks to answer of the following questions. Q1. Is there any relationship between capacity building and supervisor support on employees performance? Q2. Dose the capacity building and supervisor support affect the employees performance? The hypothesis is that, H1: capacity building significant impact employees performance, H2: supervisor support significantly impact on employees performance.

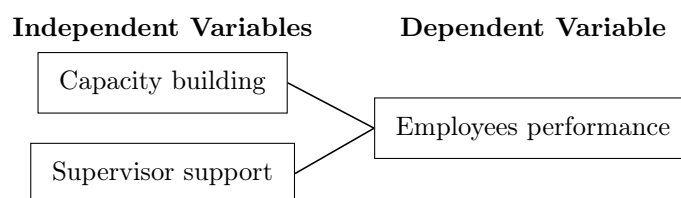


Figure 1. Conceptual framework of the study

Note. Adapted from (Wassem et al., 2019; Palomo et al., 2010; Ahmad et al., 2015; Masood, 2010)

METHODS

Research Design

This study employed cross-sectional, explanatory survey design to examine the relationships among Capacity Building (CB), Supervisor Support (SS), and Employee Performance (EP) among employees of commer-

cial banks in Siddharthanagar Municipality, Bhairahawa, Nepal. The individual employee was the unit of analysis, and the completed questionnaire was the unit of observation. The cross-sectional design enabled the study to estimate statistical associations among the constructs using data collected at a single point in time; therefore, the estimated relationships are interpreted as associations rather than definitive causal effects.

Population, Sample, and Sampling

The study population consisted of 240 employees working in 19 commercial-bank branches in Siddharthanagar Municipality. A total of 150 employees were selected using convenience sampling. The required sample size was determined using formula:

$$n = \frac{N}{1 + Ne^2}, \quad (1)$$

where n is the required sample size, N is the population size, and e is the allowable sampling error. With $N = 240$ and $e = 0.05$,

$$n = \frac{240}{1 + 240(0.05)^2} = \frac{240}{1.60} = 150. \quad (2)$$

Thus, 150 employees were included in the empirical analysis. The use of convenience sampling was considered when interpreting the generalizability of the findings beyond the study setting. The sample size was well above the minimum statistical power threshold suggested by Hair et al. (2021) and met the minimum requirement recommended by the 10-times rule for PLS-SEM.

Constructs and Measurement

Tools for Data Collection

Questionnaire is used as research instrument to collect the data from respondent. The questionnaire employs a seven-point Likert scale to gather responses from the participants. The questionnaire is comprised two sections. The first section contains information of demographic profile of participants, and the second section is the main part of the research instrument which is related to the independent variable and dependent variable. The demographic variable such as age, gender, education, experience, and job status were adopted from previous literature Saleem et al. (2022). The first independent variable capacity building (CB), all the items for this construct were taken from Gull et al. (2012). The Supervisor support (SS) is next independent variable in this research, ten items were used to measure for this construct, all these times for this variable were adopted from Yang et al. (2016); Saleem and Amin (2013). The dependent variable, employee's performance (EP), is a construct that is measure through six items. All these items for this construct were derived from previous literature, specifically from the previous researcher Saleem et al. (2022); Tabouli et al. (2016).

All constructs were specified as reflective latent variables, such that the observed indicators were treated as manifestations of their respective underlying constructs. The reflective measurement model was represented by

$$x_{ij} = \lambda_{ij}\eta_j + \varepsilon_{ij}, \quad (3)$$

where x_{ij} denotes the observed value of indicator i for construct j , λ_{ij} represents the standardized outer loading, η_j denotes the latent construct, and ε_{ij} represents measurement error. The distinction between reflective and formative measurement specifications is important because the subsequent assessment of reliability and validity depends on the measurement-model type (Hair et al., 2021). The use of latent constructs and their indicators also requires careful evaluation of the underlying measurement structure, as demonstrated in previous construct-validation research using confirmatory factor analysis (Pradhan, 2017).

The structural (inner) model states that employee performance is a linear function of the two exogenous constructs:

$$\eta_{EP} = \beta_1\eta_{CB} + \beta_2\eta_{SS} + \varepsilon, \quad (4)$$

where η_{EP} denotes the latent variable score for employee performance, η_{CB} represents the latent variable score for capacity building, η_{SS} represents the latent variable score for supervisor support, β_1 represents the standardized path coefficient linking capacity building to employee performance (tested under H1), β_2 represents the standardized path coefficient linking supervisor support to employee performance (tested under H2), and ε represents the structural disturbance term (unexplained variation in employee performance), assumed unrelated to the two predictors.

Data Collection and Analysis

Data were collected through a structured, self-administered questionnaire. Data analysis utilized IBM SPSS Statistics 20 and SmartPLS 4, with SPSS serving for screening, descriptive statistics, and reliability assessment, while SmartPLS was used for evaluating the reflective measurement model and conducting partial least squares structural equation modeling (PLS-SEM), including bootstrapping, suitable for small sample sizes and non-normal data (Hair et al., 2021).

The analysis proceeded in two major stages. First, the measurement model was evaluated in terms of indicator reliability, internal consistency reliability, convergent validity, discriminant validity, and multicollinearity. Second, the structural model was evaluated using path coefficients, statistical significance, explanatory power, effect sizes, and approximate model fit.

Measurement Model Assessment

Indicator reliability was assessed using standardized outer loadings. Internal consistency reliability was evaluated using Cronbach's alpha and composite reliability (Cronbach, 1951). Cronbach's alpha was calculated as

$$\alpha = \frac{k}{k-1} \left(1 - \frac{\sum_{i=1}^k \sigma_i^2}{\sigma_T^2} \right), \quad (5)$$

where k is the number of indicators, σ_i^2 is the variance of indicator i , and σ_T^2 is the variance of the total score.

Convergent validity was assessed using the average variance extracted (AVE) (Fornell and Larcker, 1981):

$$AVE = \frac{\sum_{i=1}^k \lambda_i^2}{k}, \quad (6)$$

where λ_i is the standardized loading of indicator i . AVE indicates the proportion of indicator variance captured by the corresponding latent construct.

Discriminant validity was assessed using the

heterotrait–monotrait ratio (HTMT). HTMT was selected because simulation evidence has demonstrated that traditional approaches such as the Fornell–Larcker criterion and cross-loading assessment may fail to detect certain discriminant-validity problems, whereas HTMT provides a more sensitive assessment (Henseler et al., 2015).

For two constructs A and B , HTMT was expressed as

$$HTMT_{AB} = \frac{\frac{1}{n_A n_B} \sum_{i=1}^{n_A} \sum_{j=1}^{n_B} |r_{ij}|}{\sqrt{\frac{2}{n_A(n_A-1)} \sum_{i=1}^{n_A} \sum_{k=i+1}^{n_A} |r_{ik}| \frac{2}{n_B(n_B-1)} \sum_{j=1}^{n_B} \sum_{l=j+1}^{n_B} |r_{jl}|}}, \quad (7)$$

where n_A and n_B denote the numbers of indicators for constructs A and B , respectively; r_{ij} represents correlations between indicators across the two constructs, while r_{ik} and r_{jl} represent correlations among indicators within each construct. Lower HTMT values indicate greater empirical distinctiveness between constructs (Henseler et al., 2015).

Multicollinearity was assessed using the variance inflation factor (VIF):

$$VIF_i = \frac{1}{1 - R_i^2}, \quad (8)$$

where R_i^2 is the coefficient of determination obtained by regressing predictor i on the remaining predictors. VIF diagnostics were examined before interpreting the structural path coefficients because excessive collinearity can distort parameter estimates and their statistical interpretation. The assessment of collinearity is an established component of rigorous PLS-SEM structural-model evaluation (Hair et al., 2021).

Structural Model Specification

The hypothesized structural model examined the effects of CB and SS on EP. The model was specified as

$$\eta_{EP} = \beta_1 \eta_{CB} + \beta_2 \eta_{SS} + \varepsilon, \quad (9)$$

where η_{EP} denotes Employee Performance, η_{CB} denotes Capacity Building, η_{SS} denotes Supervisor Support, β_1 and β_2 are standardized structural path coefficients, and ε represents the structural disturbance term.

The explanatory power of the endogenous construct was assessed using the coefficient of determination:

$$R^2 = 1 - \frac{SS_{\text{residual}}}{SS_{\text{total}}}, \quad (10)$$

where SS_{residual} denotes the residual sum of squares and SS_{total} represents the total sum of squares.

The contribution of each exogenous construct was further assessed using Cohen's effect size (Cohen, 1988):

$$f^2 = \frac{R_{\text{included}}^2 - R_{\text{excluded}}^2}{1 - R_{\text{included}}^2}, \quad (11)$$

where R_{included}^2 is obtained when the predictor is included in the model and R_{excluded}^2 is obtained after excluding that predictor. Cohen (Cohen, 1988) provides conventional benchmarks for interpreting f^2 , commonly characterized as small (0.020), medium (0.150), and large (0.350), although these thresholds should be treated as general reference points rather than rigid decision rules because substantive importance is context dependent.

Standardized Root Mean Square Residual (SRMR) and Approximate Model Fit

The standardized root mean square residual (SRMR) was used as an approximate measure of the discrepancy between the observed and model-implied correlation matrices. SRMR can be expressed as

$$SRMR = \sqrt{\frac{2}{p(p+1)} \sum_{i=1}^p \sum_{j=i}^p (s_{ij} - \hat{s}_{ij})^2}, \quad (12)$$

where p is the number of observed indicators, s_{ij} denotes the observed standardized association between indicators i and j , and $\hat{s}_{ij}$ denotes the corresponding model-implied association. Lower SRMR values indicate smaller residual discrepancies. An SRMR value below approximately 0.08 was considered indicative of acceptable approximate fit within the study's reporting framework. However, consistent with contemporary PLS-SEM guidance, SRMR was interpreted as one component of model evaluation rather than as a single omnibus criterion (Hair et al., 2021).

Hypothesis Testing and Model Evaluation

The structural hypotheses were tested using 5,000 bootstrap resamples in SmartPLS 4. The bootstrap test statistic for each structural path was expressed as

$$t = \frac{\beta}{SE(\beta)}, \quad (13)$$

where β represents the estimated standardized path coefficient and $SE(\beta)$ denotes its bootstrap standard error.

The hypothesized relationship was considered statistically significant when $p < 0.05$. The structural model was evaluated using standardized path coefficients (β), bootstrapped standard errors, t -statistics, p -values, R^2 , f^2 , and standardized root mean square residual (SRMR).

The research study has used Smart PLS and SPSS version 20 to analyze the collected data. In this regard, the study employed various statistical tools based on the appropriateness of the data.

RESULTS

Demographic profile of employees and performance:

The following table 2 shows the age distribution of employees, with 41.3% aged 30 or below and 58.7% over 30, with a total of 150 employees. The average performance score for employees aged 30 or below is slightly higher than those over 30, but the difference is minimal.

Table 1. Distribution of Employees by Age, Sex, Education, Experience, and Their Performance Scores (n=150)

Demography	Category	N (%)	Mean	SD
Age	≤30 years	62 (41.3%)	5.42	1.407
	> 30 years	88 (58.7%)	5.38	1.333
Sex	Male	90 (60%)	5.3	1.423
	Female	60 (40%)	5.56	1.255
Education	Level +2	14 (9.3%)	5.58	1.183
	Bachelor	80 (53.3%)	5.26	1.389
	Master	56 (37.3%)	5.55	1.359
Experience	≤5 years	95 (63.3%)	5.36	1.365
	> 5 years	55 (36.7%)	5.46	1.361

The work force is largely male, with 90 men and 60 women. On average, female employees perform slightly better than male counterparts, and the overall performance score stand at 5.4 most of employees hold bachelor degree while about 37.3% have completed master's degree. Those with a +2 qualification or higher tend to show stronger performance, with minor differences across education levels. The majorities of employees have 5 years or less of work experience; those with more than 5 years record a marginally higher average performance score.

The table highlights employee's views on three dimensions: supervisor support (SS), capacity building (CB), and employees performance (EP). Perception of supervisory support are largely positive, with high mean score showing all employees feel valued, respected, and well guided by their supervisors. Capacity building aspects receive comparatively lower ratings, indicating some dissatisfaction with training, mentoring, and career development opportunities. Employees performance is rated favorably overall, while supervision and performances are strengths, greater attention is needed to improve career development initiatives.

From Table 4, it is found that the value of Cronbach's Alpha for different components of supervisor support, capacity building, and employees performance are 0.909,

0.903 and 0.922 respectively, indicating that the statements in the questionnaire related to these variable are suitable and appropriate.

Table 5 indicates the measures and validity related to the outer model. It shows the standardized outer loading, Variance Inflation Factor (VIF), mean, and Standard Deviation (SD) of the outer model. Twenty scale items are used to assess three latent variables. The outer loading values of all the items are above the threshold value of 0.70 except SS5, which indicates the absolute contributions of each item to measuring the respective variable (Sarstedt et al., 2017). In the case of SS5, according to (Hair and Alamer, 2022), the items having outer loading values above 0.6 can also be retained for further analysis. Similarly, the VIF values of all the items are below 5, indicating no multicollinearity among the scale items (Hair and Alamer, 2022). Consequently, there is no multicollinearity among the items. The mean and standard deviation (SD) results of all the measurement items are in a good range on 7-point Likert scale data. Hence, the measurement items qualify for reliability and validity for further assessment.

The validity and internal reliability of the constructs utilized in this investigation are shown in Table 6. All constructs have Cronbach's Alpha values above the conventional cutoff point of 0.705 (Bland and Altman, 1997), confirming the reliability of the scale used to measure each construct and demonstrating the internal consistency of all constructs. Additionally, construct validity and reliability are indicated by Composite Reliability (CR) rho_a and CR rho_c values exceeding 0.70 (Saari et al., 2021). All of the constructs appear to have established convergent validity, as indicated by the Average Variance Extracted (AVE) values being over the 0.50 threshold values (Hair and Alamer, 2022). Therefore, all of the quality criteria measures are qualified by the outcomes of the preceding table.

Table 7 contains the correlations between each of the variables utilized in this study, expressed as the Heterotrait-Monotrait (HTMT) ratio. The values of the HTMT ratio fall between 0.371 and 0.809. Although one value is above 0.85 but below 0.90, the normal permissible range for HTMT ratio values is below 0.85. According to (Henseler et al., 2015), we can also accept the variable having an HTMT ratio of up to 0.90. As a result, discriminant validity across the study's reflective constructs has been proven (Hair and Alamer, 2022).

Model Fit Assessment

The standardized root mean square residual (SRMR) was utilized for goodness-of-fit indices for the model. The SRMR value is 0.061, less than the threshold value of 0.08. This indicates that the model possesses good explanatory power, as (Bentler and Hu, 1998) suggested. For the variable Employee's performance, the f-square value of Capacity Building is 0.042 on employees performance, indicating small size effect. The f-square value of supervisor support on employees performance is 1.087, indicating large effect size (Cohen, 1988). Lastly, the R-square value of employees performance is 0.595, which indicates moderate predictive power (Hair et al., 2013).

Table 2. Descriptive statistics of items measuring Supervisory Support(SS), Capacity Building(CB), and Employee Performance(EP).

Items	Min	Max	Mean	SD
My supervisor is helpful to me in getting the job done. (SS1)	1	7	5.17	1.764
My supervisor is willing to extend help to me perform my job. (SS2)	1	7	5.24	1.531
My supervisor takes pride in my work accomplishments. (SS3)	1	7	4.97	1.716
My supervisor tries to make my job as interesting as possible. (SS4)	2	7	5.23	1.499
My supervisor helps me in crisis. (SS5)	1	7	4.87	1.752
My supervisor helps in difficult tasks. (SS6)	1	7	5.17	1.596
My supervisor treated me with respect. (SS7)	1	7	5.87	1.556
My supervisor gave me regular feedback on my performance. (SS8)	1	7	6.2	1.442
I am being sufficient trained by the organization. (CB1)	1	7	3.37	1.982
My senior properly guides me on the job. (CB2)	1	7	3.02	1.881
I am provided mentoring by the organization whenever required. (CB3)	1	7	3.71	1.852
I feel sufficient skilled for the present job. (CB4)	1	7	3.78	2.02
My organization encourage to avail training opportunities. (CB5)	1	7	4.7	1.976
My management motivates me for good performance. (CB6)	1	7	4.78	2.152
I feel dedication, seriousness and ability to take responsibility. (EP1)	1	7	5.77	1.386
I enjoy professional skill or professionalism and technical knowledge required to carry out the work efficiently. (EP2)	1	7	5.38	1.629
I do my work according to specific policies and procedures. (EP3)	1	7	5.25	1.839
I feel satisfied with the work I do in the bank. (EP4)	1	7	5.61	1.483
Planning the work before starting its implementation contributes to setting the goals that need to be achieved. (EP5)	1	7	4.85	1.625
I have the ability to plan my work and its accomplishment according to the planned schedule. (EP6)	1	7	5.55	1.62

Table 3. Reliability Analysis

Variable	Items	Cronbach's Alpha	Corrected Item-Total Correlation
Supervisor support	SS1	.909	.627
	SS2		.798
	SS3		.674
	SS4		.750
	SS5		.610
	SS6		.767
	SS7		.785
	SS8		.671
Capacity building	CB1	0.903	.728
	CB2		.704
	CB3		.815
	CB4		.802
	CB5		.702
	CB6		.664
Employees performance	EP1	0.922	.901
	EP2		.900
	EP3		.913
	EP4		.905
	EP5		.919
	EP6		.909

Table 4. Measurement Items Assessment/ Assessment of Survey Items

Variables	Items	Loading	IF	Construct
Capacity Building	CB1	0.786	2.757	3.89 / 1.623
	CB2	0.762	2.691	
	CB3	0.862	3.741	
	CB4	0.852	3.235	
	CB5	0.842	3.000	
	CB6	0.805	2.829	
Employee's Performance	EP1	0.901	4.055	5.40 / 1.360
	EP2	0.888	3.398	
	EP3	0.828	2.528	
	EP4	0.873	2.942	
	EP5	0.784	2.063	
	EP6	0.842	2.811	
Supervisor Support	SS1	0.725	1.923	5.34 / 1.258
	SS2	0.842	3.640	
	SS3	0.750	2.776	
	SS4	0.797	3.031	
	SS5	0.686	1.673	
	SS6	0.817	2.997	
	SS7	0.869	4.930	
	SS8	0.783	3.416	

Table 5. Construct Validity and Reliability Assessment

Variables	Cronbach's alpha	Composite reliability (rho_a)	Composite reliability (rho_c)	Average variance extracted (AVE)
Capacity Building	0.904	0.933	0.924	0.671
Employee's performance	0.925	0.930	0.941	0.729
Supervisor support.	0.911	0.921	0.928	0.617

Table 6. Heterotrait-Monotrait Ratio of Correlations (HTMT)

Variables	Capacity Building	Employee's performance	Supervisor support
Capacity Building			
Employee's performance	0.401		
Supervisor support.	0.371	0.809	

Table 7. Relationship between Capacity building and Supervisor support with Employee's performance

Hypothesis	β	Mean	SD	t	P-value	Decision
Capacity Building $\rightarrow$ Employee's performance	0.139	0.141	0.044	3.132	0.002	accepted
Supervisor support. $\rightarrow$ Employee's performance	0.711	0.711	0.052	13.758	0.000	accepted

Table 8 show the boot-strapping results under 5000 subsamples and decisions on zshypotheses. All hypotheses H1 and H2 are accepted at significance level 0.05. Hence, there is a positive and significant impacts of capacity building ($\beta=0.139$; $p<0.05$) on employees performance. Similarly, supervisor support has positive and significant impact on employees performance ($\beta=0.711$; $p<0.05$).

According to table 9, there is positive weak correlation between capacity building and supervisor support. Similarly, there is positive weak correlation between capacity building and Employee's performance. And, there is positive strong correlation between Supervisor support and Employee's performance.

DISCUSSION

The findings of this survey indicate that capacity building has a significant effect on employee performance. Similarly, training and capacity building programs are important for human resource development (Asfaw et al., 2015; Guest, 1997). Likewise, training enhance employees performance, productivity, knowledge and skill in banking sector and it also helps in career development of any individual over the life span (Gull and Azam, 2012; Wanyama and Mutsotso, 2010; Otoo and Mishra, 2018). Regarding supervisory support, managers should maintain good working environment in workplace, consistent feedback to their subordinate, clear and effective communication with their employees regarding work related challenges and fair treatment to the employees in workplace help improve employees productivity and performance in banking sectors (Pulakos, 2009). The importance of organizational practices for performance is also evident in the Nepalese banking context. Previous research on Nepalese com-

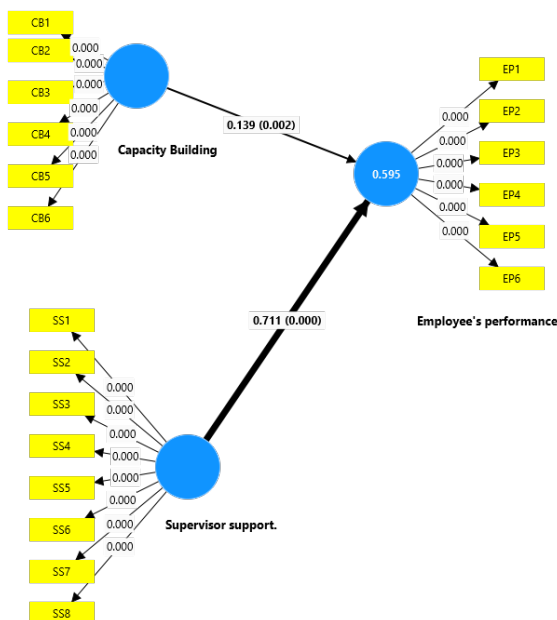
**Figure 2.** Structural Assessment Model

Table 8. Correlation Matrix

	Supervisor support	Capacity building	Employee's performance
Supervisor support	1	.336**	.738**
Capacity building		1	.363**
Employee's performance			1

mercial banks has reported significant associations between corporate governance mechanisms and bank performance, highlighting the broader importance of organizational practices for banking-sector outcomes (Pradhan et al., 2023). The results of the research show that managers' support does not significantly affect the performance of textile industry employees (Wassem et al., 2019). capacity building and supervisor support improves the performance of employees is justified by this study. Based on the results, the study recommended that employees' capacity building is positively linked with the employees' performance. Therefore, firms should arrange training for employees with the collaboration of the HR department.

CONCLUSION

In conclusion, there is a positive effect of capacity building on employees' performance. Similarly, supervisor support also has a positive effect on employees' performance. It means providing training and supervisor help to the banking employees to increase their performance level of the employees. Furthermore, there is a positive and significant relationship between capacity building, supervisor support, and employee performance. This study emphasizes the value of capacity building and managerial support in improving employee performance in the banking industry. Policymakers could encourage this by organizing training programs for bank employees.

LIMITATIONS AND FUTURE RESEARCH

This study only focuses on the employees' performance of the commercial bank of Siddharth Nagar municipality, Bhairahawa. So, the finding may not be applicable in other areas. Future research should investigate how peers and family influence career choices and how these aspects improve employee performance. Organizations may apply this information to create strategies for training.

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